

Trip.com Group (TCOM)

Quartr-Enhanced Investment Analysis

Date: 31 March 2026

Market Cap: ~\$31.7B USD | NASDAQ: TCOM

GICS: Hotels, Resorts and Cruise Lines

Table of Contents

1. Business History
 2. Management & Incentives
 3. Competitive Landscape
 4. Financial Characteristics
 5. Red Flags
 6. Investment Checklist
 7. Learning Resources
 8. Corporate Culture
 9. Earnings Call Deep Dive
 10. Strategic Documents Analysis
 11. Synthesis
-

1. Business History

Trip.com Group traces its origins to June 1999, when four co-founders -- James Jianzhang Liang, Neil Nanpeng Shen, Min Fan, and Qi Ji -- launched Ctrip.com in Shanghai. Each brought a distinct competence: Liang, who had spent eight years in technical and managerial roles at Oracle Corporation in Silicon Valley, supplied the technology architecture; Shen, a Deutsche Bank and Lehman Brothers alumnus, brought capital markets expertise (he would later co-found Sequoia Capital China in 2005); Fan Min, then chief executive of Shanghai Travel Service Company and future Vice Chairman of the China Tourism Association, contributed deep travel-industry relationships; and Qi Ji, an entrepreneur who had founded Shanghai Sunflower High-Tech Group in 1997, provided operational intensity. The quartet secured \$5 million in early venture capital from IDG Capital and

SoftBank, enabling rapid buildout of the infrastructure that would define Ctrip's first decade. The original business model was a hybrid that management internally described as "click and mortar" -- an online booking interface layered on top of a large-scale telephone call center. At a time when Chinese consumers had limited trust in pure internet transactions, this dual-channel approach proved critical. Ctrip negotiated bulk-rate hotel inventory and airline ticket allocations, then distributed them via its website and a call center that at its peak employed thousands of agents. The initial product mix concentrated on domestic hotel reservations and air ticketing, supplemented by packaged tours and corporate travel management. Revenue came primarily from commissions paid by hotel and airline partners, a model that aligned incentives around volume and service quality rather than advertising. This commission-driven, service-heavy approach differentiated Ctrip from the advertising-funded portals that dominated China's early internet landscape.

The company's IPO on NASDAQ in December 2003, led by Merrill Lynch, raised US\$75 million through the sale of 4.2 million American depositary receipts at \$18 each. The stock closed at \$33.94 on its first trading day, an 86% gain that validated the business model and gave the company a war chest for expansion. Liang served as CEO through January 2006, during which time Ctrip established itself as the undisputed leader in China's online travel market.

The first serious inflection point came between 2011 and 2013. With the rise of mobile internet, newer competitors -- notably Qunar (backed by Baidu), eLong (backed by Expedia), and Tuniu -- began aggressively discounting to capture market share. Ctrip, which had grown comfortable as the incumbent, was slow to pivot to mobile. In March 2013, Liang made the consequential decision to return as CEO, replacing the professional management team that had run the company in his absence. His mandate was singular: transform Ctrip into a mobile-first platform. He poured resources into app development, slashed prices to match competitors, and accepted short-term margin compression in exchange for defending market share. By Q4 2014, the price war had reached destructive levels -- Ctrip lost RMB 224 million in that quarter alone, while Qunar hemorrhaged RMB 675 million.

Rather than continue bleeding, Liang chose consolidation. In May 2015, Ctrip and Plateno Group acquired a 63.7% stake in eLong from Expedia, neutralising a key rival. Then, in October 2015, Ctrip executed a landmark share swap with Baidu: Baidu exchanged its controlling Qunar stake (178.7 million Class A and 11.45 million Class B shares) for 11.49 million newly issued Ctrip ordinary shares, giving Baidu a 25% stake in Ctrip while Ctrip gained a 45% stake in Qunar. The combined entity controlled an estimated 70-80% of China's online hotel and air ticket booking market, ending the value-destroying price war and creating a near-monopoly in domestic OTA.

With domestic dominance secured, Ctrip pivoted to internationalisation. In November 2016, the company acquired Edinburgh-based Skyscanner, a leading global flight metasearch engine serving 60 million monthly active users across 30+ languages, for GBP 1.4 billion -- the largest travel-tech acquisition in European history at that time. Skyscanner was allowed to operate independently, preserving its brand and management while gaining access to Ctrip's supply chain and Asian traffic. That same month, Liang stepped back from the CEO role, handing it to Jane Jie Sun, who had been COO since 2012 and brought a Morgan Stanley equity research background and fluent cross-cultural management style. Liang remained as executive chairman, focusing on long-term strategy and his academic research on demographics.

In November 2017, Ctrip acquired the Trip.com domain and brand, which became the spearhead for international customer acquisition. The global ambition crystallised on October 25, 2019, when shareholders approved the corporate name change from "Ctrip.com International, Ltd." to "Trip.com Group Limited," reflecting a portfolio that now spanned four major brands: Ctrip (domestic China), Trip.com (international), Qunar (value-conscious Chinese travellers), and Skyscanner (global metasearch). Alongside the rebrand, management unveiled the "G2 strategy" -- Great Quality and Globalisation -- and set a target of increasing international revenue from roughly 35% to 40-50% within three to five years. In September 2019, Ctrip further extended its Asian footprint through a share exchange with Naspers that made it the single largest shareholder of India's MakeMyTrip, acquiring 49% of MakeMyTrip's voting power and gaining a strong position in South Asia's fast-growing travel market.

COVID-19 devastated global travel from early 2020, but Trip.com Group used the downturn to restructure costs, invest in content (CEO Jane Sun personally hosted hundreds of livestream sessions to promote domestic tourism), and prepare for recovery. The company secured a secondary listing on the Hong Kong Stock Exchange on April 19, 2021 (stock code 9961), raising US\$1.1 billion and diversifying its investor base closer to its core market. When China's borders reopened in early 2023, Trip.com Group was positioned for an explosive rebound: full-year 2023 saw 100% year-on-year growth in international bookings, and FY2024 net revenue reached RMB 53.3 billion (US\$7.3 billion), a 20% increase over 2023. By Q4 2024, outbound hotel and air ticket bookings had recovered to more than 120% of pre-COVID 2019 levels.

Throughout these transformations, a consistent cultural DNA has persisted. The company has always prioritised service quality and operational reliability over pure platform economics -- a legacy of the original call-center model. Its willingness to accept near-term losses in pursuit of long-term structural advantage, visible in the 2014 price war and the capital-intensive Skyscanner and Qunar deals, reflects Liang's conviction that market structure matters more than quarterly earnings. And the founding team's enduring influence -- Liang remains executive chairman, Shen sits on the board, and Sun (CEO since 2016) has been with the company since 2005 -- provides unusual continuity for a Chinese internet company now in its 27th year of operation. The current form of Trip.com Group -- a multi-brand, multi-geography platform generating over \$7 billion in revenue with AI-driven tools like TripGenie handling customer interactions in nine languages -- is the direct product of a founding team that built for durability in a market where most competitors optimised for speed.

2. Management & Incentives

Key Leadership: Background, Tenure, and Track Record

Trip.com Group's senior leadership is anchored by three long-tenured executives whose careers are deeply intertwined with the company's evolution from a domestic Chinese OTA into a global travel platform.

James Liang (Liang Jianzhang), Executive Chairman. Liang co-founded Ctrip in 1999 after a

career at Oracle in Silicon Valley, where he rose to senior technical roles by his mid-twenties. He holds a Ph.D. in economics from Stanford, an unusual credential for a tech founder, and has published extensively on demographics and population policy in China. He served as CEO from founding through 2013, stepped back to an academic and advisory role, then returned as Executive Chairman in 2015 when the company needed to reassert strategic direction during its merger with Qunar and investment by Baidu. He has served continuously as Executive Chairman since then -- over a decade in the current seat, and 26 years associated with the company. His beneficial ownership stands at approximately 5.3% of outstanding shares as of early 2025, held through a combination of direct shares, family entities (Wise Kingdom Group Limited, Smart Charm Limited), and vested stock options. This is meaningful skin in the game at roughly \$1.7 billion at current market capitalization, making him by far the largest individual insider.

Jane Sun (Jie Sun), Chief Executive Officer. Sun joined Ctrip in 2005 as CFO, having previously served as head of SEC and external reporting at Applied Materials and as an audit manager at KPMG in Silicon Valley. She progressed through CFO (2005-2012), COO (2012-2015), Co-President (2015-2016), and was appointed CEO in November 2016, giving her approximately nine years in the top role. Her career arc from financial controller to operator to CEO is relatively rare and suggests deep institutional knowledge of both the financial plumbing and operational mechanics of the business. She directly owns approximately 0.19% of shares, worth roughly \$60-90 million depending on price. While this is a smaller percentage than Liang's stake, it remains a substantial personal holding in absolute terms. Sun has been consistently recognized externally -- Fortune's Top 50 Most Powerful Women in Business (four consecutive years from 2017), Asia Society Asia Game Changer Award (2019), and a World Economic Forum Agenda Contributor.

Cindy Wang (Xiaofan Wang), Chief Financial Officer. Wang has been CFO since November 2013 and EVP since 2016, making her tenure in the CFO seat over twelve years. She joined Ctrip in 2001 -- only two years after founding -- after stints at PricewaterhouseCoopers and a venture capital firm. She holds an MBA from MIT and a bachelor's degree from Shanghai Jiao Tong University. Her institutional memory spans essentially the entire history of the public company. On earnings calls, she delivers financial results with precision and discipline, rarely deviating into promotional language -- a reassuring quality in a CFO.

Compensation Structure and Share-Based Compensation

As a Cayman Islands-incorporated, NASDAQ-listed foreign private issuer filing on Form 20-F, Trip.com discloses only aggregate compensation for directors and executive officers rather than individual named-executive-officer pay, which limits transparency relative to U.S. domestic issuers. Total group-wide share-based compensation for FY2025 was RMB 2.27 billion (approximately \$310 million), spread across product development, sales and marketing, and G&A. This SBC figure represents roughly 3.6% of FY2025 net revenue of RMB 62.4 billion -- a level that is not negligible but compares reasonably against U.S. tech peers. The lack of individual compensation disclosure is a structural limitation investors must accept with this listing jurisdiction, though it is standard practice for Chinese ADRs.

Capital Allocation Track Record

Management's capital allocation has become notably more shareholder-friendly in recent years. In August 2025, the board authorized a \$5 billion share repurchase program, a significant escalation from prior programs. By Q2 2025 reporting, approximately \$400 million in buybacks had been executed. Additionally, \$200 million in cash dividends were paid during 2025. The company sits on a formidable cash pile -- RMB 105.8 billion (\$15.1 billion) as of year-end 2025 -- providing ample capacity to continue returning capital. A notable portfolio optimization occurred when Trip.com reduced its MakeMyTrip stake from 45% to approximately 16.9% through a \$3.1 billion share repurchase and capital-raising transaction by MMYT, crystalizing value from a long-held strategic investment. Revenue grew from RMB 20 billion in 2022 to RMB 62.4 billion in 2025, while operating income reached RMB 15.8 billion -- demonstrating that management has delivered on its promise of profitable growth through the post-COVID recovery, not merely top-line expansion.

Board Composition and Independence

As of early 2026, the board comprises four executive/non-independent directors and four independent directors. However, this composition has been undergoing significant change. Min Fan, a co-founder, resigned from both his director and president positions. Qi Ji, another co-founder, also resigned as a director. In their place, two new independent directors were appointed: May Yihong Wu and Iris Yang Xiao. The departure of two co-founders in short succession is notable. It could signal a natural generational transition after 26 years, or it could reflect divergent views on strategy; management has offered no public explanation beyond routine announcements. The appointment of two female independent directors partially addresses what had been a heavily male, founder-dominated board.

Succession Planning and Key-Person Risk

The co-founder departures paradoxically reduce and raise key-person risk simultaneously. Trip.com now depends more heavily on the Liang-Sun axis, with no publicly identified successor to either. Liang is 56 and intellectually active; Sun is in her late fifties with nearly two decades at the company. Neither appears at imminent risk of departure, but the bench beneath them is opaque. No COO or president has been publicly designated since Fan's departure, which is a gap worth monitoring.

Management Credibility: Do They Do What They Say?

Across the Q1-Q4 2025 earnings calls, management's communication style is consistent: measured, data-rich, and strategically disciplined. Promises made in prior quarters -- 60% international OTA growth, inbound traveler expansion, AI deployment -- are substantiated with specific KPIs in subsequent calls. The \$5 billion buyback authorization followed through on management's stated commitment to shareholder returns. The one area where credibility is under active stress is the SAMR anti-monopoly investigation, disclosed in January 2026. Management's language has been carefully lawyered ("cooperating fully," "regulatory compliance remains a core priority"), which is expected but uninformative.

Key flags: (1) SAMR anti-monopoly investigation is the most significant near-term management risk;

(2) departure of two co-founders from the board in 2025 is unexplained; (3) no visible succession plan below the CEO/Chairman level; (4) aggregate-only compensation disclosure limits ability to assess pay-for-performance alignment at the individual executive level.

3. Competitive Landscape

Industry Structure and Key Competitors

The online travel agency (OTA) industry operates as a two-sided marketplace connecting travelers with accommodation, transportation, and experience providers. Globally, the sector is an oligopoly dominated by four players -- Booking Holdings, Expedia Group, Airbnb, and Trip.com Group -- which together accounted for 96% of the top-tier OTA sector's approximately \$58 billion in revenue in 2024. In China specifically, the market is even more concentrated: Trip.com, Meituan-Dianping, Tongcheng-Elong, Qunar (a Trip.com subsidiary), and Fliggy collectively control 89% of domestic OTA revenue. As of 2024, Trip.com held an estimated 56% GMV share of China's OTA sector, more than three times that of any individual rival. The competitive landscape divides along geographic and customer-segment lines. Booking Holdings (FY2025 revenue: ~\$24 billion) dominates Europe and is expanding aggressively in Asia, investing approximately \$700 million above baseline in 2026 across AI, the Connected Trip vision, and APAC growth. Expedia (~\$14 billion revenue) has been losing share post-pandemic to both Booking and Airbnb. Domestically, Meituan competes primarily in budget hotels (average room rate ~150-200 RMB versus Trip.com's ~350 RMB), leveraging its massive food-delivery user base for cross-selling. Tongcheng-Elong exploits transportation ticketing data to upsell adjacent hotel inventory. Airbnb, while a growing force in alternative accommodations globally, remains a peripheral competitor in mainland China following its 2022 domestic market exit.

Sources of Competitive Advantage

Network effects and scale. Trip.com benefits from powerful two-sided network effects. Its 600,000 high-star hotel partnerships (versus Meituan's 350,000 as of mid-2025) create the most comprehensive inventory in the premium segment, which in turn attracts higher-spending travelers, reinforcing supplier willingness to list. The platform's accommodation segment (42% of revenue) and transportation segment (36%) create a bundling flywheel -- a traveler booking a flight is presented with hotel and tour options, increasing wallet share and reducing customer acquisition costs. Management noted on the Q4 2025 call that the company served approximately 20 million inbound travelers in 2025, with over 80% of bookings originating from the mobile app.

Switching costs and loyalty. The company has invested heavily in loyalty programs and membership tiers that create meaningful switching costs for frequent travelers. Management has described domestic competition as "rational," reflecting a mature market where incumbents compete on service quality rather than unsustainable subsidies.

Intangible assets and proprietary data. Trip.com possesses over two decades of proprietary

booking data, user preference profiles, and millions of verified reviews. As CEO James Liang stated on the Q4 2025 earnings call: "Our true advantage is the ability to fine-tune [AI] models into vertical travel experts using our decades of proprietary data, real booking data, user preferences and millions of verified reviews." This data moat is difficult for new entrants to replicate and underpins AI tools like TripGenie (deployed in 200+ countries) and Trip.Planner.

Cost advantages through technology. AI-powered customer service now handles the majority of inquiries (over 65% for the Trip.com brand), creating structural cost advantages relative to competitors still reliant on traditional call centers.

Durability of Advantages and Market Share Trends

Trip.com's moat in China's high-star hotel segment appears structurally durable. Hotel inventory is inherently limited -- at a given time and location, room supply is fixed, and premium hotels tend to form long-term, exclusive relationships with the highest-quality distribution channels. Market share trends are favorable: domestic hotel bookings grew 29% YoY in Q1 2025, outpacing industry occupancy rates. Internationally, gross bookings grew approximately 60% YoY in 2025, with APAC as the primary region. International revenue now represents roughly 40% of total revenue, up from under 20% pre-pandemic.

Disruptive Threats

The most credible disruptive threat comes from **content-to-commerce platforms**, particularly ByteDance's Douyin (the Chinese TikTok). In mid-2025, Douyin launched calendar-based real-time hotel booking, partnering with major hotel groups including Huazhu, Hyatt, Jinjiang, and Atour, offering discounts of up to 40% and deploying billion-yuan subsidies. This triggered a summer price war in 2025. However, Douyin's actual OTA market share remains small, and Trip.com management has expressed confidence that content platforms will struggle to replicate the full-stack service capabilities that define a true OTA.

A second threat is **regulatory risk**. In January 2026, Chinese authorities launched an anti-monopoly investigation into Trip.com, mirroring the broader regulatory tightening that has affected China's technology sector.

Booking Holdings' APAC expansion represents a longer-term competitive pressure. Booking reported low double-digit room-night growth in Asia in 2025, with Northeast Asia up 13%. Through its subsidiary Agoda and localized payment solutions, Booking is methodically building APAC presence.

4. Financial Characteristics

Revenue Model and Mix

Trip.com Group operates a commission-and-fee-based platform model across four reportable segments. In FY2025, total revenue reached RMB 62.4 billion, up 17% year-over-year from RMB 53.3 billion. Accommodation reservation is the largest and fastest-growing segment at RMB 26.1 billion

(42% of revenue, +21% YoY), reflecting higher take rates and international hotel expansion. Transportation ticketing contributed RMB 22.5 billion (36%, +11% YoY), a more mature segment where growth is structurally lower given regulated ticket pricing. Packaged tours (RMB 4.7 billion, 8%, +8% YoY) and corporate travel (RMB 2.8 billion, 4%, +13% YoY) remain smaller contributors. "Others" revenue -- including advertising, financial services, and ancillary products -- reached RMB 6.4 billion (10%, +38% YoY), the fastest-growing line and an underappreciated margin contributor. Geographically, international revenue now represents roughly 40% of total, up from ~35% in FY2024 and under 20% pre-pandemic.

Margin Architecture

TCOM's margin profile is distinctive among global OTAs. Gross margin was 80.6% in FY2025 (down slightly from 81.1% in FY2024), reflecting the asset-light platform model. Below gross profit, the cost structure is dominated by R&D (RMB 15.1 billion, 24% of revenue) and sales and marketing (RMB 14.9 billion, 24% of revenue), with G&A at RMB 4.5 billion (7%). Sales and marketing rose to 24% from 22% of revenue in FY2024, driven by international expansion. Operating margin stood at 25.3% in FY2025, contracting from 26.7% in FY2024 as the company reinvested into international customer acquisition and AI capabilities. For context, Booking Holdings delivered a 32.8% operating margin in FY2025, while Expedia managed only 12.7%. TCOM occupies a strong middle ground, with a credible path toward Booking-level margins as international marketing intensity normalizes. Adjusted EBITDA margin was 30.3% in FY2025. The quarterly cadence reveals significant seasonality: Q3 2025 peaked at 35% EBITDA margin during summer, while Q4 fell to 22%.

Returns on Capital

GAAP return on equity for FY2025 was approximately 21%, but heavily distorted by RMB 19.9 billion in investment gains. Operating ROE -- using operating income of RMB 15.8 billion -- was approximately 10%, reflecting the dilutive impact of the enormous cash holdings on the denominator. Return on invested capital tells a more meaningful story. Invested capital (equity plus debt minus excess cash) was approximately RMB 97 billion, yielding an estimated ROIC of roughly 14% on a NOPAT basis. Excluding goodwill, operating ROIC would exceed 60%, revealing the extraordinary capital efficiency of the underlying platform.

Cash Conversion and Capital Intensity

Cash conversion is excellent. Operating cash flow was RMB 18.9 billion in FY2025, representing an OCF-to-EBITDA conversion ratio of approximately 100%. Capital expenditure is minimal -- approximately RMB 591 million in FY2024 (roughly 1.1% of revenue). Free cash flow margin exceeded 29% -- placing TCOM among the most cash-generative internet platforms globally. The business is fundamentally capital-light. Net property, plant, and equipment was only RMB 5.4 billion against RMB 267.4 billion in total assets.

Balance Sheet Strength

TCOM's balance sheet is a fortress. Cash, cash equivalents, restricted cash, short-term investments,

and held-to-maturity deposits totaled RMB 105.9 billion at end-FY2025. Total debt was approximately RMB 30.8 billion in FY2025, down from RMB 39.6 billion in FY2024. The result is a net cash position of approximately RMB 75 billion -- more than four times annual operating income. Debt-to-equity is a modest 17.8%.

Working Capital Dynamics

The OTA model generates structurally favorable working capital. Advances from customers (deferred revenue from prepaid bookings) stood at RMB 18.2 billion at end-FY2025 (29% of net revenue) -- effectively an interest-free float from travelers. This negative working capital cycle is a defining structural advantage that amplifies with growth.

Cyclicalilty

Travel is inherently cyclical and discretionary. The COVID-era collapse demonstrated this: operating cash flow was only RMB 2.5 billion in FY2021 before surging to RMB 22.0 billion in FY2023. However, the asset-light model allows rapid cost flexing, the growing corporate travel segment provides a more recurring revenue base, and the massive cash pile provides extraordinary financial resilience. What is most distinctive about TCOM's financial profile versus global OTA peers is the combination of high gross margins, strong cash conversion, and a massive net cash position -- all layered on top of a business growing revenue at 17%. TCOM's financial challenge is not profitability or cash generation but rather deploying its enormous cash reserves productively while sustaining the margin trajectory as international marketing costs escalate.

5. Red Flags

1. The Earnings Mirage: Investment Gains Masking Operational Deceleration

Trip.com's FY2025 headline net income of RMB 33.4 billion is a fiction of convenience. Strip out the investment gains -- primarily a massive one-time gain from the divestment of an overseas investment in Q3 2025 that alone catapulted that quarter's net profit 193% year-on-year to RMB 19.9 billion, exceeding total revenue for the quarter -- and the picture changes dramatically. Management itself disclosed that net income **excluding** investment gains was only RMB 13.4 billion. That means roughly RMB 20 billion, or 60% of reported net income, came from portfolio shuffling, not from selling hotel rooms or airline tickets. Any investor using a trailing P/E based on GAAP earnings is being systematically misled about what this business actually generates from operations. Operating income grew only 11% year-on-year to RMB 15.8 billion on 17% revenue growth, meaning operating margins actually **contracted**. This is not a company whose core profitability is expanding. The operating cash flow picture is worse. Cash from operations fell from RMB 19.6 billion to RMB 18.9 billion, a 3.6% decline, even as revenue grew 17%. This divergence between reported revenue growth and cash generation is a classic warning sign. The most likely culprits are increased working capital

consumption from international expansion and the RMB 2.9 billion spent on "customer protection and service enhancements" -- a line item that sounds suspiciously like subsidies repackaged as investment.

2. The Anti-Monopoly Investigation and AI Price-Fixing Scandal

On January 14, 2026, Trip.com disclosed that SAMR had commenced a formal investigation under China's Anti-Monopoly Law. The stock cratered 17% in a single session, vaporizing over \$8 billion of market capitalization. The investigation centers on Trip.com's AI-powered "price adjustment tool," which hotel partners allege was used to automatically scan competitor prices and force reductions on their listings -- a practice described as "one-sided coercion." By March 2026, Trip.com was compelled to shut the tool down entirely.

This matters beyond the immediate fine risk. The AI pricing tool was a core mechanism for Trip.com's hotel monetization, allowing the platform to dictate terms to smaller hotel operators. Its removal directly weakens Trip.com's pricing power in accommodation, the company's single largest revenue segment (42% of revenue). Hotel ADR was already declining high single digits in early 2025 before the investigation even became public.

A securities class action has been filed (class period April 30, 2024 to January 13, 2026), alleging Trip.com concealed antitrust regulatory timelines. The precedent from Alibaba's 2021 anti-monopoly fine of RMB 18.2 billion (4% of domestic revenue) suggests a potential fine in the multi-billion RMB range.

3. The VIE Black Box

When investors buy TCOM on NASDAQ, they are purchasing shares in a Cayman Islands holding company with no direct equity ownership in the operating businesses in China. The entire structure depends on contractual arrangements that have never been tested in a Chinese court under adversarial conditions. Trip.com's own 20-F acknowledges PRC authorities could determine these arrangements violate existing or future laws.

The HFCAA delisting risk adds a second layer of structural jeopardy. While Trip.com maintains a Hong Kong secondary listing that provides a conversion pathway, forced delisting from NASDAQ would instantly eliminate the company from major US index funds and ETFs, triggering mechanical selling pressure.

4. Governance Alarm Bells: Founders Departing Under Pressure

In February 2026, co-founders Min Fan and Qi Ji resigned from the board, with Fan also stepping down as company president. This occurred contemporaneously with the SAMR investigation. When co-founders of a 26-year-old company exit the board at the exact moment regulators are investigating the firm's core business practices, the most charitable interpretation is that they are distancing themselves from potential personal liability. The less charitable interpretation is that insiders are heading for the exits.

The RMB 106 billion cash figure sounds comforting until you recognize that a significant portion sits in "financial products" and "held-to-maturity time deposits" held largely within the VIE structure in China, subject to capital controls that prevent frictionless repatriation.

5. Competitive Encirclement

When the CFO describes competition as "rational," this is code for "we are losing pricing power but do not want to say so." Douyin launched into hotels with 40% discounts and billion-yuan subsidies in 2025. Meituan already surpassed Trip.com in domestic hotel room-night volume for lower-tier properties. Adjusted sales and marketing expense jumped from 22% to 24% of revenue in FY2025. This is not the cost profile of a company operating from a position of secure dominance; it is the profile of a company fighting to hold ground.

6. The D&A Question

FY2025 depreciation and amortization reportedly surged roughly fourfold from FY2024 levels. A change of this magnitude demands explanation. Trip.com has carried goodwill without ever recording an impairment charge -- across an entire COVID cycle that devastated its business for three years. No impairment through COVID-era travel collapse strains credulity.

Bear Case Scenario

SAMR imposes a fine of RMB 5-10 billion and mandates structural remedies that permanently reduce Trip.com's take rate on hotel bookings by 200-300 basis points. Domestic competition intensifies as Douyin scales its travel vertical, compressing margins further. International expansion burns cash at an accelerating rate without reaching profitability. US-China tensions trigger forced delisting. The stock re-rates from a growth premium to a deep-value-with-governance-discount.

Questions Investors Should Be Asking Management

1. What specific business practices are under investigation by SAMR, and what is the maximum fine exposure?
 2. What was the precise impact of the AI price adjustment tool on hotel take rates, and what is the expected margin impact from its shutdown?
 3. Why did operating cash flow decline year-on-year despite 17% revenue growth?
 4. What drove the fourfold increase in depreciation and amortization expense?
 5. What percentage of the RMB 106 billion cash balance is subject to PRC capital controls?
 6. Why did co-founders Min Fan and Qi Ji resign concurrent with the SAMR investigation?
 7. At what point does international OTA marketing spend reach diminishing returns?
 8. Has goodwill been tested for impairment using updated assumptions reflecting the 2025-2026 environment?
-

6. Investment Checklist

1. Understandable Business - YES

Trip.com operates an OTA platform earning commissions by connecting travelers with hotels (42%), airlines/railways (36%), tour packages (8%), and corporate travel (4%). The model is straightforward and any investor can grasp it.

2. Durable Competitive Advantages - PARTIALLY

Trip.com benefits from powerful network effects in China, where it commands dominant market share. However, the anti-monopoly investigation and forced shutdown of the AI price adjustment tool signal regulatory risk to its dominant position. Internationally, Trip.com competes against deeply entrenched incumbents (Booking, Airbnb) and the moat is still being built rather than established.

3. Long Reinvestment Runway at High Returns - YES

International travel is the clear reinvestment runway. With international revenue growing 60% YoY and APAC online travel penetration lagging Western markets significantly, years of runway remain. The AI investment (TripGenie usage growing 200% YoY) represents a technology reinvestment vector.

4. High Returns on Incremental Capital - PARTIALLY

ROIC estimates range from approximately 10.9% to 16.5%, comfortably exceeding WACC of ~5.9%. ROE stands at ~21%. However, heavy marketing spend for international expansion means incremental capital deployed internationally may earn lower returns for years. SBC of RMB 2.27B (~3.6% of revenue) dilutes true returns modestly.

5. Strong Free Cash Flow Generation - YES

Operating cash flow was RMB 18.9B (30% of revenue). With 80.6% gross margins and light capex, FCF conversion is excellent. The business generates ample cash to fund expansion, buybacks, and dividends simultaneously.

6. Conservative Balance Sheet - YES

Cash of RMB 105.9B against ~RMB 30.8B in debt yields a net cash position of ~RMB 75B. Net cash represents over 30% of market capitalization. This fortress balance sheet provides cushion against regulatory fines, competitive investments, and cyclical downturns.

7. Aligned Management with Skin in the Game - PARTIALLY

James Liang holds 5.3% (~\$1.7B). Insiders collectively hold 8.5%. The \$5B buyback and dividend initiation suggest management thinks like owners. However, two co-founders departing the board in 2025 raises governance questions.

8. Rational Capital Allocation History - YES

The \$5B buyback authorization is substantial (~16% of market cap). Dividends initiated. No value-destructive acquisitions recently. All funded from operating cash flow with no balance sheet strain.

9. Favourable Industry Structure - PARTIALLY

OTA markets tend toward oligopoly due to network effects. Trip.com dominates China. However, the SAMR probe demonstrates regulators are constraining platform power. Globally, Trip.com is the challenger, not the incumbent.

10. Reasonable Valuation - YES

At trailing P/E of ~8-9x (vs. Booking at 22x, Airbnb at 32x, Expedia at 25x), Trip.com trades at a dramatic discount. A company growing at 17% with 80%+ gross margins and 25% operating margins does not deserve one-third the multiple of slower-growing peers. Net cash of ~\$10/share provides downside protection.

11. Resilience to Recession or Disruption - PARTIALLY

Travel is cyclical and was devastated during COVID. However, the RMB 105.9B cash hoard provides extraordinary financial resilience. The platform-light model means costs flex downward. The regulatory disruption risk is live.

12. Transparent Management Communication - NO

The securities class action alleges Trip.com concealed the timeline and extent of antitrust scrutiny from investors between April 2024 and January 2026. The stock fell 17-19% when disclosed, suggesting the market was caught off guard. The co-founder departures were not accompanied by detailed explanation.

Overall Assessment

Checklist Score: 7 YES | 4 PARTIALLY | 1 NO

Trip.com Group is a high-quality business at a discounted valuation. The core platform economics are excellent. The international growth story provides a compelling reinvestment runway. At 8-9x earnings versus 22-32x for Western peers, the valuation embeds significant pessimism. The two principal risks are the SAMR investigation and the transparency failure. For investors with a multi-year horizon who can tolerate China regulatory risk, TCOM presents compelling risk/reward at current levels.

7. Learning Resources

Podcasts & Audio

- **"Jane Sun: Travel, Crisis Management and Female Leadership"** -- Nicolai Tangen, *In Good Company* (Norges Bank Investment Management). NBIM CEO interviews Trip.com CEO Jane Sun on corporate culture, AI in customer service, and career building. Listen on Acast
- **"3 Lessons from My Visit to Trip.com" (Episode 234)** -- Jeffrey Towson, *The Tech Strategy Podcast*. China-based strategy expert visits Trip.com's Shanghai HQ and breaks down its personalization engine and generative AI strategy. Listen on jefftowson.com
- **"Meituan vs. Ctrip vs. Alibaba: Who Will Win in China Services?"** -- Jeffrey Towson. Competitive deep-dive comparing platform strategies of China's three major OTA contenders. Listen on jefftowson.com
- **"China, Part 2: A Conversation with Ctrip Founder James Liang"** -- PhocusWire. Interview with chairman and co-founder covering founding story and global ambitions. Read/listen on PhocusWire

YouTube & Video

- **"Trip.com's Jane Sun: Exceptional Leaders / Exceptional Ideas"** -- Morgan Stanley. Analyst Alex Poon with CEO Jane Sun on AI, travel, and building the world's largest travel agency. Watch on Morgan Stanley
- **"Trip.com CEO Jane Sun on AI, Human Connection, and the Future of Travel"** -- Bloomberg Business Summit ASEAN (2025). Sun on AI-driven personalization and global expansion. Read summary
- **"Trip.com CEO Jane Sun Speaks with Bloomberg in Davos"** -- Bloomberg Television (January 2024). Sun explains why China's travel industry is outperforming. Watch on Bloomberg
- **"Travel Is Going to Be an Important Trade Issue: Ctrip"** -- CNBC (2019). James Liang on Chinese travelers and trade implications. Watch on CNBC

Books

- ***The Demographics of Innovation: Why Demographics Is a Key to the Innovation Race*** -- James Liang (Wiley, 2018). Written by Trip.com's chairman, examining population structures and innovation. Google Books
- ***AI Superpowers: China & Silicon Valley*** -- Kai-Fu Lee (2018). Essential context for understanding the Chinese tech ecosystem.
- ***Alibaba: The House That Jack Ma Built*** -- Duncan Clark (2016). The definitive account of China's internet economy build-out in the era Ctrip was founded. Amazon

Long-Form Articles & Research

- **"How China's Largest Online Travel Agency Connects the World"** -- McKinsey & Company (2019). In-depth interview with CEO Jane Sun. Read on McKinsey
- **"A Deep Dive Into Trip.com Group"** -- Skift Research (2020). Comprehensive analysis of business structure, growth, and strategy. Skift Research
- **"Ctrip Goes on a Round the World Trip"** -- CKGSB Knowledge. Business-school case study of Ctrip's international expansion. Read on CKGSB
- **"Growth Without Lift in China's \$151.8B Travel Market"** -- Phocuswright (2025). Latest industry research on China OTA dynamics. Phocuswright

Earnings Calls & Primary Sources

- **Quartr** -- Primary source for Trip.com earnings call transcripts (Q1 2018-Q4 2025), 20-F annual reports (2014-2024), and earnings releases. Quartr
- **Trip.com Group Investor Relations** -- Official filings, press releases, shareholder letters. investors.trip.com

Suggested Learning Path

Start with the Morgan Stanley "Exceptional Leaders" interview for a concise overview, then the Nicolai Tangen podcast for leadership depth. Read the McKinsey interview and CKGSB case study for strategic context. For competitive dynamics, listen to Towson's Trip.com visit. Then review the latest earnings transcripts and 20-F on Quartr.

8. Corporate Culture

Founder Imprint: James Liang's Intellectual DNA

Trip.com Group's culture is inseparable from the worldview of its co-founder and Executive Chairman, James Liang. A child prodigy who entered Fudan University's gifted program at 15, Liang obtained a master's in computer science from Georgia Tech at 20 and later earned a PhD in economics from Stanford in 2011 -- a degree pursued while serving as CEO of an already-public company. His career arc -- Oracle technologist, internet entrepreneur, then academic economist -- has produced a corporate culture that is unusually data-driven and research-oriented for a travel platform. Liang's most distinctive intellectual contribution has been his demographic research. He has spent over a decade publicly advocating for China to reverse its low-fertility trajectory, publishing books and in 2026 launching a HK\$500 million Genovation Foundation to fund fertility subsidies and policy research. This is not idle philanthropy: Liang's conviction that population decline threatens innovation directly shapes Trip.com's internal policies. The company offers RMB 50,000 childbirth subsidies per child, additional childcare leave, and a hybrid work model explicitly designed to support working parents.

Decision-Making: Data-First, Founder-Led

Trip.com's landmark 2012 work-from-home experiment -- a randomized controlled trial with 242 employees, later published with Stanford's Nicholas Bloom and subsequently in *Nature* (2024) -- illustrates the approach. Rather than adopting remote work based on intuition, management ran a genuine experiment, measured output and attrition, and scaled results when data showed a 13.5% productivity increase and nearly 50% reduction in quit rates. The resulting "3+2" hybrid model was the first formal hybrid policy at a major Chinese tech company. At 24% of revenue (RMB 15.1 billion in FY2025), Trip.com's product development spend is among the highest in global online travel, substantially exceeding Booking Holdings (~15%) and Expedia (~17%) as a share of revenue.

Innovation Culture: AI as Strategic Identity

AI has become a central cultural totem. TripGenie, deployed across 200+ countries, has driven a ~50% increase in average user session duration. AI chatbots handle over 80% of post-sale customer inquiries. The USD 100 million Tourism Innovation Fund signals a culture that views R&D as inseparable from commercial identity.

Customer Orientation: Genuine but Now Under Scrutiny

In FY2025, the company invested RMB 2.9 billion in customer protection and service enhancements. However, the January 2026 SAMR investigation has introduced a sharp contradiction. Hotel merchants reported losing pricing autonomy under Trip.com's AI-powered price adjustment tool, which automatically scanned competitor pricing and forced reductions. Hotels alleged predatory pricing and forced exclusivity. Trip.com shut down the tool on March 10, 2026. The episode reveals a cultural tension: the same data-driven instinct that produced TripGenie also produced an algorithmic tool that regulators deemed monopolistic.

Talent and Retention: Mixed Signals

Glassdoor rating of 4.0/5.0 (based on ~800 reviews) is respectable, with 76% willing to recommend. The Top Employer Institute recognized Trip.com for two consecutive years, and over 50% of employees are female. Yet recurring negatives include "toxic work environment" pockets, internal politics, and inconsistent work-life balance enforcement. The 3.8/5.0 scores for work-life balance and career opportunities suggest headline policies don't uniformly reach every team.

Integrity and Ethics: A Live Risk

The anti-monopoly probe is the most significant integrity test in Trip.com's recent history. The securities class action alleges the company "materially understated the regulatory risk." Beyond this, Trip.com's track record is relatively clean by Chinese tech standards -- no major data breaches, accounting scandals, or executive misconduct. MSCI ESG rating of A.

Adaptability: Proven Through Crisis

During COVID 2020-2022, Trip.com ran lean while investing in international expansion. The post-COVID pivot (60% YoY international growth), inbound tourism infrastructure (20 million travelers served), and entertainment-plus-travel strategy (triple-digit growth) all reflect a culture capable of strategic reorientation.

Red Flags: Co-Founder Departures

The February 2026 departure of co-founders Min Fan and Qi Ji reduces founder representation to James Liang alone. The concentration of institutional memory and strategic vision in Liang introduces key-person risk. His significant time commitments to academic research and the Genovation Foundation warrant monitoring.

9. Earnings Call Deep Dive

Narrative Evolution: A Story That Sharpened Quarter by Quarter

Across four consecutive quarters (Q1-Q4 2025), Trip.com management progressively narrowed its narrative from a broad post-pandemic recovery story into three sharply defined pillars: inbound tourism, international expansion, and AI.

In Q1 2025, Chairman Liang opened with measured optimism -- "the travel industry continues to show strong growth in 2025 driven by high consumer confidence, resilient demand and favorable policies" -- treating inbound travel as one of several vectors. By Q2, the inbound thesis had been substantially upgraded. Liang framed it in macro terms: "inbound travel accounts for less than 0.5% of China's GDP, well below the 1% to 2% levels typically seen in developed markets." By Q4, CEO Sun declared: "We believe inbound travel to China is at the start of a significant and sustainable growth cycle... we see at least 5 to 10x growth."

The AI narrative underwent parallel escalation. In Q1, Liang described TripGenie as seeing "around a 50% increase in average user session duration." By Q3, Trip.Planner had driven "a 180% year-over-year surge in unique visits." By Q4, confronted with AI disruption questions, Liang delivered his most robust defense: "We are not just a booking tool. We are a true travel partner... our proprietary data, global supply chain and service guarantee... define our value." What was conspicuously dropped: early-quarter optimism about pricing stabilization. In Q1, CFO Wang suggested "increasing travel demand and normalizing supplier growth will help to stabilize hotel price." By Q2 and Q3, management acknowledged ongoing ADR pressure more openly. A new narrative element emerged in Q4: regulatory risk. Sun disclosed the SAMR investigation with notable brevity -- a single paragraph followed by "we are cooperating fully."

Guidance and Delivery

Trip.com does not provide explicit numerical guidance, but management sets qualitative expectations that can be tracked. The record is strong. Revenue grew 16% YoY in Q1, Q2, and Q3, then accelerated to 21% in Q4. International OTA bookings consistently grew "approximately 60%" every quarter -- remarkable consistency. Inbound bookings sustained "over 100%" growth every quarter without exception. The shareholder return program was executed aggressively: the company exhausted its annual quota and announced a new \$5 billion multi-year repurchase program.

Analyst Concerns: The Recurring Questions

Three themes dominated Q&A across all four quarters:

Competition: Analysts asked about competitive intensity every single quarter. Management's response was formulaic, centering on service quality and one-stop platform capabilities.

Hotel ADR pressure: The trajectory moved from "hotel ADR decreased by high single digits" (Q1) to "declines narrowing to the mid- to low single-digit range" (Q2) to "the year-on-year decline narrowed to the low single digits" (Q3).

AI disruption: This escalated over time. By Q4, Alex Yao from JPMorgan asked pointedly: "As AI agents, like Gemini and Qwen, show strong capabilities in personalized recommendations and closing of the transaction loop, how do you evaluate the impact on your OTA business model?"

Key Reveals

Reveal 1 -- The inbound GDP gap. Q2, Liang: "Inbound travel accounts for less than 0.5% of China's GDP, well below the 1% to 2% levels typically seen in developed markets." By Q4, Sun amplified this to "5 to 10x growth" potential.

Reveal 2 -- International revenue crossing 40%. Q4, Wang: "Our international business contributed about 40% of total revenue and bookings in 2025, up from around 35% in 2024." A structural shift.

Reveal 3 -- The \$1 trillion silver economy. Q2, Sun: "Our forecast is in the next 3 to 5 years, that market can grow into \$1 trillion-plus markets."

Reveal 4 -- Destination services as loss leader. Q3, Sun: "The destination service is free because our customers already make the air flight and hotel bookings... we don't intend to make any money for destination marketing."

Reveal 5 -- The SAMR investigation. Q4, Sun: "In January, we received a notice from the State Administration for Market Regulation regarding the initiation of a regulatory investigation." The brevity

was itself revealing.

Q&A Dynamics

Alex Yao (JPMorgan), Thomas Chong (Jefferies), Simon Cheung (Goldman Sachs), Brian Gong (Citi), and Yang Liu (Morgan Stanley) appeared repeatedly. Jane Sun fielded the majority of Q&A, with Wang handling financial specifics and Liang reserved for AI and strategic questions. Sun's answers followed a recognizable pattern: acknowledge the question, pivot to Trip.com's strengths, close with optimism.

The most substantive Q&A moment came in Q4 when Liang delivered a nearly 600-word response to Yao's AI agent question -- the longest answer across all four calls. The SAMR question was handled by CFO Wang with a brief, legalistic response and immediate pivot.

Summary: Across Q1-Q4 2025, management told a coherent, escalating story backed by consistently delivered metrics. The narrative discipline is impressive. The Q4 SAMR disclosure and the step-up in AI defense language mark the two most significant narrative shifts.

10. Strategic Documents Analysis

Strategic Priorities: Three Pillars, Sharpening Focus

Trip.com's strategic communications across FY2024-FY2025 have coalesced around three core pillars, each evolving in emphasis. **Globalisation** has been the dominant theme since the 2019 rebrand, but it has shifted from an aspirational goal to a quantified reality -- international revenue moved from "about 35%" in FY2024 to "about 40%" in FY2025, with management now explicitly targeting continued expansion in APAC where online travel penetration remains low. **Inbound tourism** emerged as a distinct strategic pillar in 2025, transitioning from a footnote to the centerpiece of prepared remarks by Q4, with management framing China's inbound travel as "less than 0.5% of GDP" versus 1-2% in developed economies. **AI and technology** has been elevated from an operational efficiency lever to a strategic identity -- TripGenie, Trip.Planner, and the \$100 million Tourism Innovation Fund are positioned as core competitive differentiators rather than incremental improvements.

Notably absent from recent strategic messaging: domestic China market share defense. Management has quietly deprioritised discussion of domestic competitive dynamics, preferring to frame the narrative around international opportunity and inbound potential. This is strategically rational (the domestic market is mature and increasingly regulated) but potentially masks the competitive pressure from Douyin and Meituan.

Capital Allocation Framework

Management articulates a clear hierarchy: organic growth investment first (R&D at 24% of revenue, international marketing), followed by shareholder returns (the \$5B buyback program and \$200M dividend), with selective M&A as a distant third priority. The numbers support this rhetoric. The

company's largest recent capital move was the partial divestiture of MakeMyTrip (reducing from 45% to ~16.9%), crystallising value from a strategic investment rather than deploying capital into new acquisitions. The combination of a fortress balance sheet (RMB 106B cash) and aggressive buyback authorisation signals confidence in the current business trajectory. However, the actual pace of capital return remains modest relative to the cash pile. The \$400M in buybacks executed by mid-2025 represents less than 0.4% of the cash balance. The gap between the \$5B authorisation and the execution rate suggests either extreme discipline or a reluctance to deploy capital that warrants monitoring.

Long-Term Targets and Credibility

Trip.com has avoided explicit long-term financial targets in public filings, which is prudent given the regulatory and macro uncertainties but frustrating for investors seeking a framework. The implicit targets that can be extracted from earnings call commentary include: international revenue reaching 50%+ of total (within 3-5 years from 2019, now at 40%), inbound travel "5-10x growth" potential over an unspecified period, and the silver economy growing to "\$1 trillion+" within 3-5 years. These are directional rather than committal, which makes management difficult to hold accountable but also reduces the risk of guidance misses.

The FY2025 operating margin contraction (25.3% vs 26.7% in FY2024) is notable context for any long-term profitability targets. Management explicitly chose to accept margin compression in exchange for international growth -- a rational trade-off, but one that means any implicit margin expansion narrative requires faith that marketing intensity will normalise as international markets mature.

Narrative vs Reality

The strongest alignment between narrative and financial reality is in international growth: 60% YoY bookings growth, 40% revenue contribution, and consistently delivered quarter after quarter. The inbound tourism narrative is also well-supported by data (100%+ YoY growth in bookings, 20 million travelers served).

The most significant divergence is between the "customer first" narrative and the AI price adjustment tool scandal. Management spent years building a service-quality brand identity, while simultaneously deploying algorithmic tools that hotel partners describe as coercive. The strategic documents emphasise "empowering partners" and "building a healthy ecosystem" -- language that sits uncomfortably alongside SAMR's findings.

Risk Acknowledgement

Trip.com's 20-F risk factor sections are comprehensive in a legal sense -- covering VIE structure, regulatory risk, competition, cybersecurity, and macro factors -- but strategically uninformative. The risk factors read as boilerplate legal disclosures rather than genuine strategic analysis. Notably, the FY2024 20-F (filed February 2025) did not specifically flag the escalating antitrust regulatory engagement that was reportedly underway through 2024-2025, a gap that is now the basis for the securities class action.

Evolution of Messaging

The most significant evolution between FY2023 and FY2024/2025 strategic messaging is the transition from a recovery narrative to a growth narrative. In FY2023, communications emphasised returning to pre-COVID levels. By FY2025, the framing had shifted entirely to "growth beyond recovery" -- inbound tourism as a structural opportunity, international expansion as a decades-long runway, and AI as a transformative capability. This shift is substantive and appropriate, but it also conveniently redirects attention from the maturing (and increasingly competitive) domestic market.

11. Synthesis

The 3-5 Most Important Things an Investor Needs to Understand

- 1. This is a genuinely high-quality platform business trading at a deep discount to intrinsic economics.** Trip.com generates 80%+ gross margins, 25% operating margins, and 30% FCF margins on a capital-light model with negative working capital. At 8-9x trailing earnings versus 22-32x for Western OTA peers, the market is pricing in substantial permanent impairment. Whether that discount is justified or an opportunity is the core investment question.
- 2. The international growth story is real, but it's expensive.** International revenue crossing 40% of total (up from under 20% pre-pandemic) is a structural transformation, not a cyclical blip. The 60% YoY international bookings growth delivered consistently for four quarters is impressive. But sales and marketing expense jumped from 22% to 24% of revenue, and operating margins contracted. The path to Booking-level profitability in international markets is years-long and uncertain.
- 3. The SAMR anti-monopoly investigation is the defining near-term risk.** This is not a theoretical regulatory overhang -- Trip.com was forced to shut down a core monetisation tool (the AI price adjustment system) and faces potential fines in the multi-billion RMB range based on the Alibaba precedent. The concurrent securities class action and co-founder board departures compound the uncertainty. Resolution will be the key catalyst in either direction.
- 4. Operating cash flow divergence from revenue growth is a yellow flag.** OCF declining from RMB 19.6B to RMB 18.9B while revenue grew 17% demands investigation. The massive investment gains (RMB 20B) inflating reported net income make it easy to miss this operational deterioration. Investors should focus on operating income and FCF, not headline earnings.
- 5. The VIE structure and China political risk are permanent discounts.** TCOM will likely never trade at Western peer multiples regardless of operational performance. The question is whether the current discount (70%+) is excessive relative to the actual probability of adverse outcomes.

Tensions and Contradictions Between Analyses

The most striking contradiction is between the **Competitive Landscape** analysis (which sees a structurally dominant platform with durable network effects) and the **Red Flags** analysis (which sees a company fighting to hold ground against Douyin and Meituan). Both are partially right: Trip.com is dominant in premium travel but losing ground in budget tiers. The "rational competition" framing is simultaneously true (no repeat of the 2014 price war) and misleading (new entrants are competing on fundamentally different axes).

The **Corporate Culture** section's portrayal of a data-driven, research-oriented organisation sits uncomfortably alongside the AI price-fixing scandal identified in **Red Flags**. The same algorithmic sophistication that powers TripGenie also powered a tool regulators deemed monopolistic. This is perhaps the most important insight: Trip.com's greatest strength (technological capability applied to travel) is also the source of its greatest current risk.

The **Investment Checklist** gives a NO on transparency while the **Earnings Call Deep Dive** finds management delivering on stated metrics with impressive consistency. These aren't contradictory -- management can be operationally credible while being selectively opaque about regulatory risk.

What Primary Sources Revealed That Web Research Alone Would Have Missed

The earnings call transcripts provided several insights not available from secondary sources:

- **The narrative drop on pricing stabilisation** -- management quietly abandoned Q1 optimism about hotel ADR recovery by Q3, a shift visible only through sequential transcript reading.
- **The "destination services as loss leader" reveal** -- Jane Sun's Q3 admission that Trip.com doesn't intend to monetise destination marketing directly, using it purely for engagement.
- **The consistency of the 60% international growth figure** -- appearing identically every quarter, suggesting this was a managed target rather than an organic outcome.
- **Liang's 600-word AI defense in Q4** -- the length and structure of this response revealed genuine strategic anxiety about AI disintermediation, not visible in press summaries.
- **The SAMR disclosure being handled by CFO Wang, not CEO Sun or Chairman Liang** -- a subtle but significant delegation that suggests legal counsel drove the communication strategy.

Key Debates and Open Questions

1. **Is the SAMR investigation a one-time fine or a structural constraint?** The fine itself (likely 1-4% of domestic revenue) is manageable. Behavioral remedies that permanently constrain take rates or bundling would be far more damaging.
2. **Can international margins converge toward domestic levels?** The thesis requires marketing intensity to normalise, but Booking Holdings' own elevated APAC investment suggests this market may remain structurally more competitive.
3. **Is the massive cash pile an asset or a liability?** RMB 106B trapped behind capital controls in a VIE structure is not the same as \$15B of deployable capital. What percentage is genuinely accessible?
4. **What explains the co-founder departures?** Natural transition, strategic disagreement, or regulatory distancing? This matters for assessing governance trajectory.

Overall Quality Assessment

Trip.com Group is a **high-quality business** with excellent unit economics, a dominant domestic position, and a credible international growth vector. It is run by a capable, long-tenured management team with meaningful skin in the game. The financial characteristics (80%+ gross margins, 30% FCF margins, fortress balance sheet) are among the best in global travel technology. However, quality is not the same as investability. The business operates under a VIE structure with inherent property rights uncertainty, faces an active antitrust investigation that could structurally impair its core monetisation model, and is led by a management team whose transparency on regulatory matters is now being tested in court. The valuation discount reflects these realities -- the question is

one of degree, not direction.

Recommended Next Steps

- 1. Read the SAMR investigation resolution** when announced -- the fine amount matters less than any behavioral remedies imposed.
 - 2. Monitor the securities class action** (lead plaintiff deadline May 11, 2026) for discovery documents that may reveal the timeline of management's regulatory awareness.
 - 3. Track international segment margins** quarterly -- if marketing spend as a percentage of international revenue begins declining while growth holds, the bull thesis strengthens.
 - 4. Read the FY2025 20-F** when filed for updated risk factors and any revised VIE disclosures.
 - 5. Deep-read the Q4 2025 transcript Q&A section** (Quartr document 2933829) -- the analyst probing on SAMR and AI disruption is the most information-dense primary source available.
 - 6. Compare Trip.com's FY2024 20-F business description** (document 1890560) with the FY2023 version (document 2188692) for shifts in how management frames competitive dynamics and regulatory risk.
-

Analysis date: 31 March 2026. Sources: Quartr (earnings transcripts, 20-F filings, financial data), web research, SEC filings. This is not investment advice.